

Amendment No. 1 to HB1477

Kumar
Signature of Sponsor

AMEND Senate Bill No. 1694

House Bill No. 1477*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 1, Part 1, is amended by adding the following as a new section:

56-1-111.

(a)

(1) The general assembly finds that:

(A) Insurance claims handling directly affects the health, safety, and financial security of residents of this state, particularly elderly and vulnerable populations;

(B) Transparency in regulatory enforcement promotes accountability and public trust;

(C) Certain confidentiality provisions currently prevent the public from knowing whether insurers repeatedly fail to timely adjust, investigate, or pay valid claims; and

(D) Disclosure of substantiated claims-handling violations, when properly redacted, does not require disclosure of trade secrets or personally identifying information.

(2) It is the intent of the general assembly to increase transparency regarding insurer claims practices that affect the public, while maintaining appropriate protections for personal data and proprietary business information.

(b) Notwithstanding another law to the contrary, the department shall not treat as confidential information relating to substantiated violations of insurance claims-handling laws when such violations:

- (1) Involve failure to timely investigate, adjust, or pay claims;
- (2) Involve misrepresentation of policy provisions relating to coverage;
- (3) Demonstrate a pattern or practice of unfair claims settlement practices; or
- (4) Affect policyholders who are sixty-five (65) years of age or older, residents of long-term care facilities, or otherwise classified as vulnerable adults under the law of this state.

(c) Information subject to disclosure under subsection (b) includes:

- (1) Final market conduct examination findings related to claims handling;
- (2) Final administrative orders, consent orders, or settlements;
- (3) Aggregated data reflecting the number and type of substantiated consumer complaints;
- (4) Corrective action plans required of insurers following substantiated violations; and
- (5) Administrative penalties or sanctions imposed for claims-handling misconduct.

(d) Subsection (b) does not require disclosure of:

- (1) Personally identifying information of any claimant or insured;
- (2) Medical records or protected health information;
- (3) Trade secrets, actuarial formulas, or proprietary pricing methodologies; or
- (4) Information relating to an ongoing investigation prior to a final determination.

(e)

(1) On and after October 1, 2026, the department shall publish the information described in subsection (b) in a publicly accessible location and searchable format on its website. The department shall update the information not less than once every three (3) months.

(2)

(A) In addition to the requirement of subdivision (e)(1), by January 15, 2027, and no later than January 15 of each year thereafter, the department shall prepare and publish in a publicly accessible location on the department's website an annual report summarizing:

(i) The number of claims involving policyholders sixty-five (65) years of age or older;

(ii) The number of substantiated complaints alleging failure to adjust or pay such claims;

(iii) The insurers against whom such complaints were substantiated; and

(iv) Enforcement actions taken as a result.

(B) The report required under subdivision (e)(2)(A) must:

(i) Not disclose personally identifying information; and

(ii) Identify insurers by name.

(f) This section does not:

(1) Waive attorney-client privilege;

(2) Require disclosure of trade secrets protected under state or federal law; or

(3) Permit disclosure of confidential information unrelated to a substantiated claims-handling violation.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.